WEB 3.0 BUSINESS MODELS



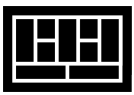
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SUPER GUIDE:

WEB 3.0 BUSINESS MODELS

BY DANIEL PEREIRA



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TABLE OF CONTENTS

Introduction 10

What Is Web 3.0? 11

- The Evolution From Web 1.0 To 3.0 13
  - Web 1.0, Web 2.0, And Web 3.0 14
- Web 2.0 Vs Web3 15
- Web3, Decentralization, And Blockchain 17

What Are The Core Characteristics Of Web3? 19

- Semantic Web 19
- The Social Web 20
- 3d Interactive Web 21
- Artificial Intelligence 21
- Decentralized Technology 22
  - Nfts 23
  - Smart Contracts 23
  - Blockchain 24
- Benefits Of These Features Include 24
  - Anti-Monopoly 24
  - Compatibility 25
  - Data Control & Ownership 25
  - No Restrictions Access 26

The Arrival Of Web 3.0 And The Transformation Of Traditional Business Models 27

- Daos, The Future Of Work 28
- Social Tokens For Creators And Artists 29
- Nft Membership Daos 31

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Why Should Businesses Embrace Web 3.0? 32
Anti-Monopoly 32
Permissionless Blockchain 33
Interoperability 33
Data Ownership And Control 33

Real-Life Web 3.0 Examples Across Industries 35
Social Networks 35
Mastodon 36
Steemit 36
Sapien 37
Exchange Services 37
Idex 38
Bitfinex 38
Remote Job 39
Cryptotask 39
Atlas 40
Ethlance 40
Streaming 41
Lbry 41
Livepeer 42
Ujomusic 42
Insurance And Banking 42
Cashaa 43
Everledger 43
Storage 44
Filecoin 44
Sia 45
Messaging 45
Ysign 46

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Secretum 46
Status 46
Browser 47
Beaker Browser 47
Brave 48

What Is The Business Model For A Web3 Company? 49
Case Study Of A Web3 Business Model 50

Emerging Web 3.0 Business Models 53
Issuing A Native Asset 53
Holding The Native Asset, Building The Network 54
Taxation On Speculation (Exchanges) 55
Payment Tokens 55
Burn Tokens 56
Work Tokens 56
Other Models 57
Blockchain As A Service (Baas) 58
How Does The Blockchain-As-A-Service Business Model Work? 58
Example Of Blockchain-As-A-Service (Baas) 59
How Blockchain-As-A-Service Is Shaping Businesses 60
Baas For Startups 61
Industry-Wise Use Cases Of Blockchain-As-A-Service 61
Healthcare 62
Automotive 62
Fintech 63
Transportation And Logistics 64
Document Tracking 64
Data Storage 64

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Contract Execution 65
Low-Code And No-Code Web3 65
Event Ticketing Marketplace 66
Example Of Event Ticketing Business Model 67

Web3 Business Models Examples 69
Bitcoin 69
More About Bitcoin 70
Ethereum 71
Solana Is A Blockchain 72
Basic Attention Token 73
Erc20 Utility Token 74

How Do Web 3.0 Business Models Make Money? 76

Web3 Network Effects 80
Network Effects In Web2 Vs Web3 80
Mental Models 82
Nature Of Value 82
Managing Market Activity Vs. Market Infrastructure 84
Countering, Switching, And Building For Defensibility 85
Managing Extraction 86
Crypto & Nfts: Network Effects In Web3 87
Ethereum: Layer 1 Protocol 87
Ethereum Blockchain And Ether Token (Interaction Network) 88
Ethereum Smart Contracts (Platform) 90
Composability (Interaction Network) 92
Axie Infinity: Play-To-Earn Nft Game 94
P2e Game (Interaction Network) 94
Axie Marketplace (Marketplace) 96

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Dao (Interaction Network) 97
Axie Infinity Scholarship Programs 99

Conclusion **101**

References **102**

About The Author **105**

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INTRODUCTION

The centralized nature of the internet has led to a number of problems. For one, it has made it easy for governments to censor content and restrict access to information. It has also allowed media outlets to control the flow of information, which has led to the spread of misinformation. However, there is reason to believe that the centralized nature of the internet is changing. The rise of decentralized technologies like blockchain and peer-to-peer networking is giving users more control over their data and giving them the ability to connect with each other directly. This shift could lead to a more open and decentralized internet, which would be beneficial for both users and businesses alike. And this decentralized internet is being brought about by Web 3.0.

Web 3.0 is the next stage of the internet's development, characterized by a move away from centralized platforms and towards decentralization. This shift has been driven by a number of factors, including the increasing power of governments and media outlets. By decentralizing the web, individuals will have more control over their data and how it is used. In addition, decentralized systems are more resistant to censorship and other forms of control. As a result, Web 3.0 promises to be a more open, democratic internet that better reflects the needs of its users.

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WHAT IS WEB 3.0?

Web 2.0 was all about centralized platforms that allowed users to interact with each other and share information. However, in recent years, there has been a shift towards decentralization, with a new generation of technologies that allow users to take back control of their data. This is what is known as Web 3.0. Instead of relying on centralized government or media outlets, users can now access information directly from the source. This decentralized approach has many advantages, including greater security and privacy, as well as more democratic decision-making. In the coming years, we are likely to see more and more platforms moving to a Web 3.0 model.

Web 3.0 is a term that is used to describe the next generation of the World Wide Web. It is characterized by features such as increased interoperability, personalization, and data integration. In addition, Web 3.0 applications are designed to be more user-friendly and allow for greater collaboration between users. One of the main goals of Web 3.0 is to make the web more intelligent and efficient in order to meet the needs of the growing number of internet users. While the term Web 3.0 is still in its early stages, it has the potential to revolutionize the way we use the internet and how we interact with each other online.

With Web 3.0, there is no need for centralized servers, as data is stored on a decentralized network. This means that users can access their data from anywhere in the world, without having to rely on a single point of failure. Web 3.0 is also more secure than previous versions of the internet, as

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data is encrypted and stored on a blockchain. This makes it impossible for hackers to access or tamper with data. Finally, Web 3.0 is designed to be more user-friendly and efficient than previous versions of the internet. In short, Web 3.0 is a more secure, efficient, and user-friendly version of the internet that gives users more control over their data.

There are two key foundational changes to the internet that Web3 enables:

1. **Digital Ownership:**

   The ability to directly hold digital assets without the necessity for a third party to act as a custodian for such assets. In addition to monetary value, we can do this with almost anything that exists on or off the blockchain (equity, certificates, etc.) by using smart contracts.

2. **Interoperability of you and your digital goods across the internet:**

   Because of Web3's interoperability, your cryptocurrency and Web3 wallet will become your one and only secure account and profile on the internet. Along with the data that it carries, it may be dragged and dropped into and out of other applications. When you transition from one platform to another, you won't have to worry about having to remember dozens, or even hundreds, of different logins and passwords.

   Nevertheless, this is not all. Even while you're out and about in the real world, the programmability of Web3 takes the experience to a whole new level. It provides the ability to develop any sort of program based on the activities and digital assets included in your wallet. To put it another way, based on the user's wallet, Web3 allows developers to easily develop a wide range of creative

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experiences, authorize access, provide certain content, and so on.

THE EVOLUTION FROM WEB 1.0 TO 3.0

Web 1.0, which was the first version of the World Wide Web, was limited in many ways. The primary goal of Web 1.0 was to provide people with a way to access information. To do this, web pages were created that were largely static and did not allow for much interaction. Web 2.0, which emerged in the early 2000s, sought to address some of the limitations of Web 1.0.

Web 2.0 introduced dynamic web pages and social media platforms that brought people together and allowed them to interact with each other in new ways. Web 3.0, which is still in development, takes this one step further by using artificial intelligence and other advanced technologies to make the web more personal and responsive to individual users. As we can see, the evolution from Web 1.0 to Web 3.0 has been marked by increasing levels of interactivity and customization.

Web 1.0, Web 2.0, and Web 3.0

Web 1.0 was the first generation of the World Wide Web, and it was defined by a few key features. First, web pages were mostly static, meaning that they did not change based on user input. Second, web pages were typically developed by a single author or organization, and they were not meant to be collaboratively edited. Third, the focus of Web 1.0 was on providing information rather than facilitating communication. These features made Web 1.0 very different from the web 2.0 that would come later. While Web 1.0 was an important step in

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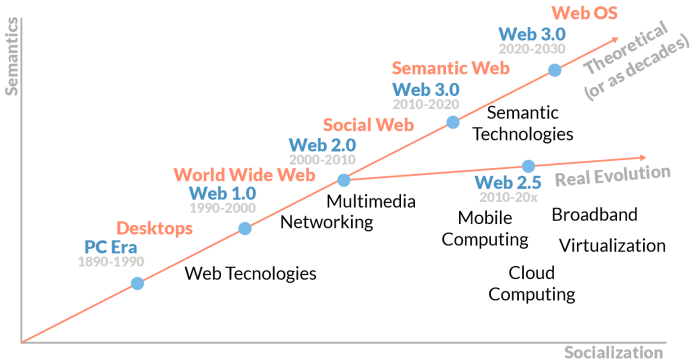
the development of the Internet, it was only the beginning of what would become a truly global communications network.

Web 2.0 is the term given to the second generation of the World Wide Web, which refers to a more interactive and collaborative online experience. The term was coined in 2004 by Dale Dougherty, and it has since been adopted by Web developers and users alike. While the first generation of the Web was focused on static content and limited user interaction, Web 2.0 sites are built around user-generated content, social networking, and other interactive features. Popular examples of Web 2.0 sites include Facebook, Twitter, and Wikipedia.

Web 3.0 is the third generation of the World Wide Web, and it is characterized by increased semantic understanding and web user interfaces that are more natural and efficient. Web 3.0 technologies are designed to make the web more intuitive and user-friendly, and they include things like artificial intelligence, natural language processing, and virtual reality. While these technologies are still in their nascent stages, they have the potential to transform the way we use the internet and make it easier than ever to find the information we need.

In addition, Web 3.0 could also lead to a more decentralized web where users have more control over their data. For example, instead of relying on centralized social media platforms, users could connect directly using peer-to-peer networks. Ultimately, Web 3.0 has the potential to create a more efficient, user-friendly, and decentralized web that could greatly improve our online experience.

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WEB 2.0 VS WEB3

With the launch of the World Wide Web in 1991, the internet as we know it was born. Since then, the web has undergone several major evolutionary steps, each building on the foundation of the last. The first major evolution, known as Web 2.0, was driven by the rise of social media and the smartphone. This shift ushered in a new era of user-generated content and gave rise to major platforms, such as Facebook, YouTube, and Twitter.

Now, we are on the cusp of another major evolution with the advent of Web 3.0. This next phase of the web will be powered by artificial intelligence and machine learning, enabling humans and computers to interact in ways that were once impossible. With Web 3.0, we will see a more personalized and semantic web that is better able to understand our needs and provide us with relevant information. In short, Web 3.0 promises to be a game-changer for the internet, and we are just beginning to scratch the surface of its potential.

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DIFERENCE BETWEEN WEB 2.0 & WEB 3.0

Criteria	Web 2.0	Web 3.0
Definition	• The second generation of internet services focused on interaction.	• The third generation of the internet focused on decentralization and semantic learning.
Focus	• The focus is primarily on community development.	• The focus is on empowering individual users.
Technologies	• AJAX • JavaScript • HTML5 • CSS3	• Artificial intelligence • Machine learning • Decentralized protocols.
Types of Applications	• Web applications	Smart applications based on AI and ML.
States of Data	• The network owns the data	• Entities have ownership over the data and its sharing and use.
Features	• Improved interaction • Introduction of web applications	• Smart, web-based applications and functionalities • The better blend of web technology and knowledgerepresentation

It's been more than a decade since the term "Web 2.0" was first coined, but there's still no consensus on what it actually means. Broadly speaking, Web 2.0 refers to the shift from static websites to dynamic, interactive applications — think Facebook, Google Maps, and Wikipedia. But while the term is often used to describe the current state of the web, it's also frequently used to describe the direction the web is headed. This is where Web 3.0 comes in.

Web 3.0 is often described as the "semantic web", where data is meaningfully interconnected and can be understood by machines. This vision of the web has been slowly but steadily taking shape with the rise of linked data standards like schema.org, as well as new technologies like NFTs and blockchain tokens. Linked data ensures that data is interoperable — meaning it can be easily shared and reused across different platforms and applications. Plus, NFTs and tokens provide a way to monetize data and incentivize its creation, making it possible to build a decentralized economy around it. In other words, Web 3.0 is about making the web smarter, more connected, and more valuable.

WEB3, DECENTRALIZATION, AND

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BLOCKCHAIN

The internet as we know it today is centralized. That means that there are a few powerful companies that control most of the data and traffic on the web. This centralized model has a lot of advantages, but it also comes with some serious drawbacks. For example, centralized networks are much more vulnerable to attack than decentralized ones. They're also subject to censorship and government control. Finally, centralized networks typically require users to give up their data, which can be a major privacy concern.

Enter Blockchain and Web3. Blockchain is a new technology that enables decentralization by allowing data to be stored in an immutable, encrypted ledger. Cryptocurrency is one popular use case for blockchain, but the technology has many other potential applications. For example, blockchain could be used to create decentralized social networks or marketplaces. The possibilities are endless.

Centralized systems have their drawbacks, but the decentralization offered by Web3 and blockchain comes with its own set of challenges. For example, distributed systems are often less efficient than centralized ones. They can also be more difficult to manage and scale. Despite these challenges, the promise of decentralization is too great to ignore.

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WHAT ARE THE CORE CHARACTERISTICS OF WEB3?

The concept of Web 3.0 is not as straightforward to define, but it's possible to make it much more understandable by looking at the following specific innovations and practices that explain this shift:

SEMANTIC WEB

The semantic web is sometimes referred to as Web 3.0, and it represents a vision of the future where machines will be able to understand and interpret the meaning of the information on the internet. This will enable them to provide intelligent search results and make better decisions on behalf of their users.

The semantic web relies on standards such as Resource Description Framework (RDF) and Web Ontology Language (OWL), which define how data should be structured and annotated. In addition, the semantic web relies on knowledge graphs, which are structured databases of knowledge that can be used by machines to understand the relationships between concepts. The development of the semantic web is ongoing, and it holds great potential to transform how we interact with the internet.

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THE SOCIAL WEB

The most significant difference between Web 2.0 and the earlier version of the web is that Web 2.0 focused on social interaction. While the early web was mostly used for viewing static pages of text, Web 2.0 allowed users to interact with each other and with data in a much more dynamic way. Web 3.0 hopes to improve upon this, it will make possible the use of new technologies such as artificial intelligence and virtual reality in user-centric creation and sharing of information. As a result, the social web will become much more immersive and interactive, providing a unique experience for users.

3D INTERACTIVE WEB

The internet has come a long way since its humble beginnings as a static, two-dimensional network of text and images. With the advent of web 2.0, we saw the introduction of dynamic content, social media, and other collaborative features that transformed the internet into a more engaging and interactive experience.

Now, with web 3.0, we are on the verge of a new era of three-dimensional, virtual reality-based web browsing and communication. By harnessing the power of cutting-edge technologies like augmented reality and virtual reality, web 3.0 will provide users with an immersive, interactive experience that is unlike anything that has come before. With web 3.0, the internet will finally become a truly three-dimensional space where users can interact with each other and with content in ways that are both natural and intuitive. In short, web 3.0 promises to revolutionize the way we use the internet, and it is certain to have a profound impact on our lives in the years to come.

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ARTIFICIAL INTELLIGENCE

Web 3.0 promises to be more interactive and personalized than ever before. At its core, Web 3.0 is about deciphering real information from fake information. It is about understanding the intention of the user and providing them with what they are looking for. To achieve this, Web 3.0 relies on artificial intelligence to decrypt natural language and mimic human interaction. This promises to revolutionize the way we use the internet, making it more intuitive and user-friendly than ever before.

As we enter the era of Web 3.0, artificial intelligence is poised to play a major role in shaping the future of the internet. With the growing popularity of smart devices and voice-activated assistants, AI is becoming more and more integrated into our everyday lives. However, the potential applications of AI go far beyond these consumer-facing applications. Currently, in the business world, AI can be used to automate repetitive tasks, freeing up employees to focus on higher-level work. In the healthcare industry, AI can be used to diagnose diseases and develop personalized treatments. And in the field of transportation, AI is being used to develop self-driving cars and other autonomous vehicles. As AI continues to evolve, its potential uses are only limited by our imagination.

DECENTRALIZED TECHNOLOGY

Put simply, Web 3.0 is a decentralized approach to technology that gives users more control over their data and how it is used. This is in contrast to the traditional “centralized” model, where a few large companies control the flow of information. With Web 3.0, there is no need for these middlemen — instead, users can interact directly with each

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other. This has a number of advantages.

For example, it makes it much harder for data to be censored, as well as stolen, or lost, as there is no central point of failure. It also gives users more control over their privacy, as they can choose who to share their data with. In addition, decentralized technologies are often faster and more efficient than centralized ones, as they don't have to rely on a single company to provide all the infrastructure. Web 3.0 is still in its early stages, but it is clear that it has the potential to revolutionize the way we use the internet.

As the web continues to evolve, it has taken on a new form in Web 3.0 which features decentralized technology requiring no controlling nodes for operation; this makes it more sophisticated than traditional web page development because of its use of various building blocks including:

NFTs

NFTs are digital assets that are stored on a blockchain. Unlike traditional cryptocurrencies, NFTs are not interchangeable — each NFT is unique and can represent anything from a piece of art to a virtual world. While NFTs are still in their early days, they have the potential to revolutionize the way we interact with digital content. For example, NFTs could be used to create unique digital experiences that cannot be replicated or counterfeited. In addition, NFTs could also be used to create new types of marketplaces where people can buy and sell digital assets. Ultimately, NFTs have the potential to change the way we think about ownership and value in the digital age.

Smart contracts

A smart contract is a computer protocol that facilitates, verifies, or enforces the negotiation or performance of a contract. Smart contracts were first proposed by Nick Szabo in 1996.

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The general purpose of a smart contract is to automate the enforcement of a contract when certain conditions are met; however, smart contracts can also be used to automatically make payments, hold assets, and manage complex financial instruments. Smart contracts are often written in code and run on a blockchain; however, they can also be run on other platforms. One advantage of using smart contracts is that they can help to reduce the risk of fraud; however, they are not without their challenges. For example, if a smart contract contains errors, it may be difficult or even impossible to fix them.

Blockchain

Blockchain is a distributed database that allows for secure, transparent, and tamper-proof transactions. In other words, it is a digital ledger of all transactions that have ever been made, which is constantly growing as "completed" blocks are added to it with a new set of recordings. Each block contains a cryptographic hash of the previous block, a timestamp, and transaction data.

Bitcoin, the first and most well-known cryptocurrency, is based on blockchain technology. Ethereum, another popular cryptocurrency, also uses blockchain but with a different purpose: smart contracts. Many believe that blockchain has the potential to revolutionize not just the financial sector but also many other industries such as health care, real estate, and even voting.

BENEFITS OF THESE FEATURES INCLUDE

Anti-Monopoly

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Web 3.0 promises to bring a number of benefits to users. One of the most important is increased privacy. With Web 3.0, individuals will have more control over their data, and it will be harder for corporations to track and sell it. This will lead to fewer incidents of data privacy intrusions, and it will give people more control over how their data is used. In addition, Web 3.0 features will make it easier for new and small businesses to compete with larger corporations.

The dominance of digital corporations will disappear as the playing field is leveled, and this will provide a number of benefits to consumers. Finally, Web 3.0 will help to prevent monopoly power from being abused. The decentralization of the internet will make it harder for any one company to control the market, and this will lead to more competition and lower prices.

Compatibility

The goal of Web 3.0 is to create a more decentralized internet that is powered by blockchain technology and peer-to-peer networking. One of the challenges in achieving this goal is compatibility. One way to solve this problem is by using dApps (decentralized applications) built on Web 3.0, compatible with a wide range of devices, operating systems, and browsers.

Fortunately, there are a number of initiatives underway to address this challenge. For example, the dApp Development Framework is designed to enable dApps to run on both iOS and Android devices. In addition, the InterPlanetary File System (IPFS) is working to create a decentralized network that can store and share data across a variety of platforms. By addressing the issue of compatibility, these and other projects are helping to lay the foundation for a truly decentralized internet.

Data Control & Ownership

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With the launch of web 3.0, there is a shift in the way data is controlled and owned. In the past, data has been stored centrally on servers owned by companies like Facebook and Google.

However, in web 3.0, data is instead stored on a decentralized network of computers, known as the blockchain. This means that data is not owned by any one entity, but is instead distributed amongst many different computers. This has a number of advantages, including increased security and privacy, as well as improved resilience in the event of a hack or outage. However, it also comes with some potential challenges, such as the need for new ways to control and access data.

Nonetheless, the launch of web 3.0 represents a major shift in the way data is controlled and owned, with potentially far-reaching implications and benefits for both individuals and businesses.

No Restrictions Access

In Web 3.0, everything will be handled automatically by computers and other smart devices, negating the necessity for service providers. Businesses won't have to pay exorbitant charges to get the services they need as a result, which will cut their operational costs and enable them to interact with clients and suppliers more quickly and efficiently.

With the advent of Web 3.0, businesses will enjoy a number of benefits that were not possible with earlier versions of the web. One of the most significant advantages is that everything will be handled automatically by computers and smart gadgets, eliminating the need for service providers. This will allow businesses to save money on service fees and to do business more efficiently with customers and suppliers. In addition, automated systems will result in fewer errors and faster transactions, improving customer satisfaction and

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making it easier to conduct business on a global scale. Web 3.0 represents a major shift in the way businesses operate, and those who can embrace it will enjoy a significant competitive advantage.

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THE ARRIVAL OF WEB 3.0 AND THE TRANSFORMATION OF TRADITIONAL BUSINESS MODELS

Web 3.0 is being heralded as a major shift in the way we interact with the internet. With the advent of blockchain technology and the rise of decentralized applications, there is a growing movement towards a more open and collaborative web. This new model of the internet presents a number of challenges for traditional businesses.

Firstly, Web 3.0 is built on principles of decentralization, which runs counter to the centralized model of most businesses. Secondly, the power is shifting from large institutions to individuals and communities. This shift is already underway, as evidenced by the success of platforms like Airbnb and Uber in other industries. Finally, Web 3.0 is still in its early stages, which means that it is constantly evolving and business models that worked yesterday may not be relevant tomorrow. As such, traditional businesses need to be ready to adapt to this new landscape or risk being left behind.

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DAOS, THE FUTURE OF WORK

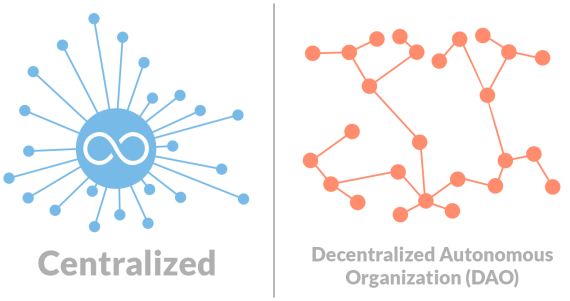
Decentralized Autonomous Organizations (DAOs) are a new type of organization that is emerging in the Web 3.0 era. DAOs are organizations that are run by a community of people who work together online. They are decentralized, meaning that there is no central authority or hierarchy. Instead, decisions are made democratically by the community. DAOs are also autonomous, meaning that they are self-governing and self-sustaining. This new type of organization is made possible by technologies such as blockchain, which allows for trustless collaboration and transparent decision-making.

DAOs offer a number of advantages over traditional organizations. For example, they are more agile and resilient, because they can make decisions quickly and adapt to change more easily. They are also more inclusive since anyone can participate in a DAO regardless of their location or background. Moreover, DAOs have the potential to be more efficient and effective than traditional organizations, because they can harness the power of collective intelligence.

The traditional resume may soon become a thing of the past, thanks to the rise of DAOs. In the world of Web3, companies will be organized as DAOs or decentralized autonomous organizations. Rather than relying on CVs and other traditional methods of assessing job candidates, DAOs instead focus on rewarding individuals for their contributions in the present. This shift is already underway, and it's being driven by the rise of blockchain technology. With blockchain, it's possible to track an individual's contributions, making it easier to assess their value to a given organization. As a result, DAOs are able to identify and reward top performers much more quickly and efficiently than traditional companies.

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In the future, DAOs are likely to become the dominant form of business organization, and the traditional CV will become increasingly irrelevant.



SOCIAL TOKENS FOR CREATORS AND ARTISTS

The age of social media has created new opportunities for creators and artists to connect with their audiences and build a following. However, the traditional model of social media relies on advertising revenue to support content creators. This can result in a number of problems, including a lack of transparency and control over the user experience. Enter Web 3.0, a new model supporting creators and artists that is based on decentralized technologies.

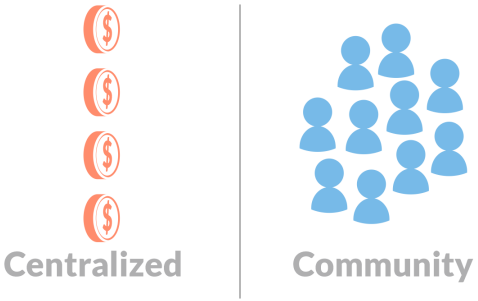
With Web 3.0, content creators can use social tokens to directly monetize their work. This not only gives them more control over their income, but also allows them to build a more direct relationship with their audience. In addition, social tokens can be used to fund projects and support creativity, without the need for traditional investors.

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Social tokens are a new way for creators and artists to raise funding and build communities. By selling tokens, creators can offer supporters a way to co-own their community and future revenue. This innovative model has the potential to revolutionize the way creators engage with their fans and generate income. Social tokens also offer a number of other benefits, such as enabling direct tipping, micropayments, and subscription models. In addition, social tokens can be used to create exclusive content, vote in polls, receive discounts on products, reward early adopters, and unlock new features for token holders. With so many advantages, it's no wonder that social tokens are quickly gaining popularity among creators and artists.

As the world of social media evolves, Web 3.0 and social tokens offer a new way for creators and artists to build a sustainable business.

SOCIAL TOKEN = CO-OWN A COMMUNITY



NFT MEMBERSHIP DAOS

NFTs, or non-fungible tokens, are a type of cryptocurrency that represents a unique asset. NFTs can be used to represent digital art, collectibles, and other experiences.

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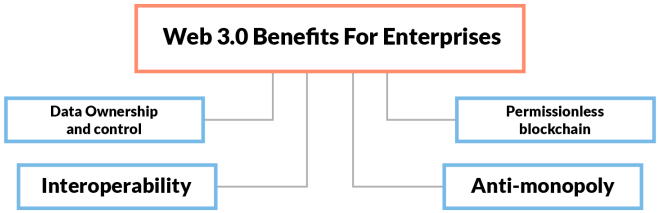
Unlike other types of cryptocurrency, NFTs cannot be interchanged or substituted.

This uniqueness makes NFTs well suited for use as a currency in digital worlds and communities. NFT membership DAOs are organizations that use NFTs to represent the membership. NFT membership DAOs can be used to represent anything from online clubs to decentralized autonomous organizations.

NFT membership DAOs offer a number of advantages over traditional organizations. They are borderless and can easily be created without the need for legal or financial services. NFT membership DAOs also offer transparency and immutability; all transactions are stored on the blockchain, making them public and permanent. Finally, NFT membership DAOs are tamper-resistant; once an NFT is minted, it cannot be changed or counterfeited. These features make NFT membership DAOs an attractive option for those looking to create or join digital communities.

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WHY SHOULD BUSINESSES EMBRACE WEB 3.0?



Anti-monopoly

While the benefits of a decentralized web are numerous, the transition will not be without its challenges. Perhaps the most significant challenge will be for companies that have been built on the premise of collecting and selling user data. These companies will need to find new ways to generate revenue, as users will now have full control over their data and can choose to share it or keep it private.

This shift could lead to a more transparent market as companies will need to compete based on providing quality products and services rather than selling user data. In addition, the adoption of Web 3.0 will require a rethinking of business models, as the traditional model of advertising will no longer be viable.

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Permissionless blockchain
In a world where trust is often in short supply, the decentralized nature of blockchain technology comes as a refreshing change. With no central authority controlling the network, there is no risk of any one party manipulating the data for their benefit. This also means that there is no bias or discrimination in the system, as everyone is treated equally. This makes it an attractive proposition for businesses, which can quickly and easily transfer digital assets across borders without worrying about the reliability or security of the process. Ultimately, blockchain technology has the potential to revolutionize the way we interact with the world around us, and it is only just beginning to be understood.

Interoperability
One of the most exciting aspects of Web 3.0 is its cross-platform compatibility. Unlike previous versions of the web, which were designed primarily for computers and smartphones, Web 3.0 will run on any device or platform. Businesses and people who develop web applications will be glad to hear this, as it will no longer be necessary to develop separate versions of apps for different operating systems.

Data ownership and control
The current centralized model of the internet is based on user data being owned and controlled by a few large corporations. This model has led to numerous privacy scandals and has made it difficult for users to control their data.

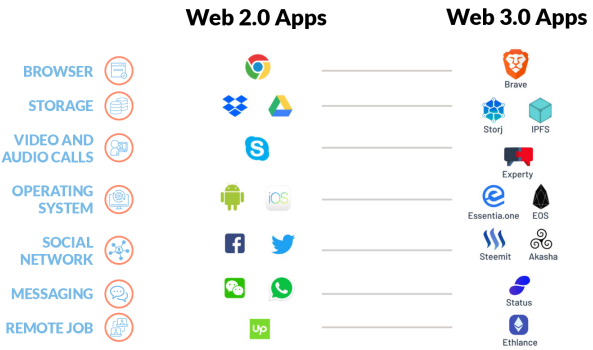
However, new decentralized web 3.0 technologies are beginning to emerge that will eventually enable users to take full control of their data. With data ownership in the hands of users, companies will no longer have to worry about complying with inconvenient regulations. Clients will decide which part of their data they are willing to share. This shift will

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have a major impact on the way businesses operate, and will give users much greater control over their data.

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REAL-LIFE WEB 3.0 EXAMPLES ACROSS INDUSTRIES



SOCIAL NETWORKS

The rise of social media networks has been one of the most defining features of the internet in the past decade. With billions of users worldwide, these platforms have become a central part of many people's lives. However, there are growing concerns about the way these networks are operated. In particular, there are worries about censorship, data misuse, and surveillance.

Unlike its predecessors, Web 3.0 is designed to be

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privacy-centric, transparent, and open-source. This new generation of social networks is still in its early stages of development, but there are already a number of promising projects underway. With their focus on privacy and decentralization, these platforms have the potential to address many of the concerns that have been raised about social media networks. As they continue to grow and develop, they could help to shape the future of the internet in a more positive direction.

Check out these examples of Web 3.0 social networks:

Mastodon
Twitter is one of the most popular social media platforms in the world. It allows users to share short updates, or "tweets", with their followers. However, Twitter is also owned by a corporation, and it relies on advertising to generate revenue. This can create a number of problems, including the fact that ads can be intrusive and disruptive. Additionally, corporate ownership can lead to censorship and other forms of control.

Mastodon is a social media platform that seeks to address these issues. Like Twitter, it allows users to share brief updates with their followers. However, Mastodon is owned by a community of individuals, and it does not rely on advertising for revenue. This means that Mastodon is more resistant to censorship and other forms of control. Additionally, it allows users to choose from a variety of different "instances", or communities, each with its own rules and guidelines. As a result, Mastodon provides a unique and customizable social media experience.

Steemit
Steemit is a community-driven content-creation and monetization platform. It runs on the Steem blockchain, which is a decentralized, peer-to-peer network. The Steemit

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community consists of a group of individuals who contribute their time and resources to help people create and monetize their content. The Steemit platform enables users to earn rewards for their contributions, which are then used to finance the development of the platform and its content. The Steemit community is thus self-sustaining and provides a valuable service to its members.

Sapien

Sapien is a social news network that leverages the power of blockchain technology to reward content creators and give users more control over their data. The Sapien Network is built on the Ethereum blockchain and utilizes smart contracts to facilitate transactions. Users of the platform can earn SPN tokens by creating or curating content. These tokens can then be used to purchase premium content or services, tip other users, or stake governance rights.

In addition, every user on the network is given an NFT passport, which allows them to access the Sapient metaverse. The passport includes a digital identity and profile, as well as a list of achievements and accomplishments. The Sapien Network provides a unique opportunity for users to be rewarded for their contributions and to participate in a growing ecosystem of decentralized applications.

EXCHANGE SERVICES

Traditional exchanges have many disadvantages compared to decentralized ones. They are less prone to hacks because they do not have a central point of failure. Additionally, they offer cheaper transactions because there are no middlemen involved. On top of that, they work with hardware wallets, which are considered to be the most secure way to store cryptocurrencies. This enables users to take control of their

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funds and avoid having to trust a third party with their money. Overall, decentralized exchanges offer a more secure and efficient way of trading cryptocurrencies.

Examples of Web 3.0 apps that provide exchange services include:

IDEX
IDEX is a centralized exchange that allows for the trading of cryptocurrencies. It is built on the Ethereum network and requires an Ethereum wallet in order to trade. IDEX boasts a convenient UI and is open to anyone who has an Ethereum wallet.

The exchange has been operational since 2017 and is one of the most popular exchanges in the world. In 2019, IDEX was ranked as the #1 ETH-based decentralized exchange by volume. IDEX allows for the buying and selling of ETH, ERC20 tokens, and other crypto assets. It also provides users with a real-time view of the market and allows them to set up price alerts. IDEX is a secure and reliable exchange that provides users with a great way to trade cryptocurrencies.

Bitfinex
Bitfinex is a digital asset trading platform offering state-of-the-art services for digital currency traders and global liquidity providers. It offers a suite of order types to give traders the tools they need to trade any market. Its OTC desk is one of the most active in the industry, providing an institutional-grade service to large buy and sell orders. They also offer high-margin trading leverage on BTC, ETH, and USDT pairs.

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REMOTE JOB

The freelance marketplace is a robust and growing industry. According to a recent study, the freelance economy has grown by 3.7 million since 2014 and is currently worth $1.4 trillion. The study also predicts that by 2027, nearly half of the U.S. workforce will be freelancers.

There are many reasons for this growth, but one of the most significant is the rise of the internet and the ability to connect with clients and contractors from anywhere in the world. Another key factor is the increasing popularity of Web3 technologies, which offer a number of advantages for freelancers and remote job platforms.

Some of the most popular Web3 freelancing platforms are CryptoTask, Atlas, and Ethlance. These platforms allow users to connect with each other directly and exchange cryptocurrencies without the need for a central authority or middleman. This decentralized approach has many benefits, including lower fees, no centralized management, and increased security. In addition, these platforms enable cryptocurrency exchange between parties, which can be beneficial for both freelancers and clients.

As the freelance economy continues to grow, it's likely that we will see more platforms embrace Web3 technologies. This would provide even more opportunities for freelancers to connect with clients.

CryptoTask
CryptoTask is a blockchain-based freelancing platform that helps businesses connect with talented freelancers from around the world. The platform is free of charge for freelancers, and it offers a wide range of features to help businesses find the right workers for their blockchain

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projects. With CryptoTask, businesses can post detailed descriptions of their project requirements, and then receive proposals from qualified freelancers. The platform also allows businesses to efficiently manage their projects, track progress, and make payments using cryptocurrency. And because all data on the platform is stored on the blockchain, businesses can be confident that their information is secure and transparent.

Atlas

Atlas is a remote job platform that offers a variety of benefits for both employers and workers. For employers, the rates are fixed at $2 per job, which makes it easy to budget for projects. In addition, Atlas.Work offers a dispute resolution system powered by smart contracts, which can help to resolve disagreements between parties. For workers, the platform offers a variety of job opportunities that can be accessed from anywhere in the world.

Ethlance

Ethlance is the first freelancing marketplace powered by the Ethereum blockchain. It enables workers to get hired and paid in Ether currency, without any intermediary fees. The advantage of using blockchain technology is that it makes the platform more secure and transparent. All payments are made directly between the employer and employee, with no need for a third party. Ethlance is also designed to be censorship-resistant, so freelancers can offer their services without fear of being blocked or removed. In addition, the platform offers a number of features that are designed to help freelancers find work and get paid, including a built-in portfolio and escrow system. Overall, Ethlance is a powerful freelancing tool that has the potential to revolutionize the way work is done online.

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STREAMING

It's no secret that copyright infringement is a big problem on the internet. Whether it's pirated movies, music, or software, there's always someone out there looking to make a quick buck by selling someone else's work. This has been a major issue for content creators, who have seen their work stolen and resold without any compensation. However, there is hope on the horizon in the form of Web 3.0 streaming platforms.

These new platforms are designed to eliminate copyright infringement by ensuring that all content is properly licensed and compensated. In addition, they provide fair conditions for all streamers, performers, and content creators so that they can promote their products. As more people migrate to these new platforms, we will finally see an end to the widespread piracy of online content.

Web 3.0 streaming apps include the following examples:

LBRY
LBRY is a free web-based library for all types of digital content that users may watch, read and listen to. It’s also one of the oldest distributed services out there. LBRY was created in 2015, a short while before popularizing the term "blockchain", in order to provide an open and decentralized solution to the frequent commercialization and monopolization of digital content by a few giant corporations.

The LBRY network is powered by the LBC token, which allows users to earn rewards for their contributions to the library, as well as access premium content. In addition to being censorship-resistant and immune to takedowns, LBRY is also customizable and user-friendly, making it a great option for those looking for an alternative to traditional

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libraries.

Livepeer
In a world that is increasingly reliant on online video, the need for a decentralized and censorship-resistant streaming platform is more evident than ever. That's where Livepeer comes in. By building on the Ethereum blockchain, Livepeer provides a decentralized platform that is resistant to censorship and secure from tampering. The platform is designed to be highly scalable, meaning that it can handle a large number of users with minimal impact on performance. In addition, Livepeer is completely open-source, meaning that anyone can contribute to its development. As the world continues to move online, platforms like Livepeer will become increasingly important.

UjoMusic
UjoMusic is a web-based application that enables musicians to upload their works and share them with the world. The application also eliminates copyright issues, making it easy for artists to monetize their work. UjoMusic was created by a team of music lovers who wanted to make it easier for artists to share their work. The application has been designed to be user-friendly and easy to use. In addition, UjoMusic offers a variety of features that make it an essential tool for any musician. With UjoMusic, you can upload your music, create a profile, and connect with other musicians. UjoMusic is the future of music sharing, and it is changing the way that musicians interact with the world.

INSURANCE AND BANKING

The banking and insurance sector is under constant pressure to improve security, transparency, and compliance. In response, many organizations are turning to Web 3.0 technologies and tools. A decentralized approach provides

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better security by distributing data and processing power across a network of computers. This makes it more difficult for hackers to access sensitive information.

In addition, smart contracts can automate routine processes and eliminate the need for paper documents. This not only saves time, but also reduces the risk of errors and fraud. As a result, the use of Web 3.0 technologies can help banks and insurers improve security, transparency, and compliance.

Web 3.0 applications that provide insurance and banking services include:

Cashaa
Cashaa is a global banking platform that serves corporate clients and individuals. It offers a crypto loan, investment, and NTF trading service through an app. The app allows users to manage their crypto and fiat currencies. It also provides a way to invest in, trade, and borrow against crypto assets. Cashaa is a member of the Blockchain Consortium and is licensed by the UK Financial Conduct Authority. The company was founded in 2016 and is based in London, England.

Everledger
Everledger is a blockchain-based platform that helps banks and insurers to prevent fraud and track provenance. The platform provides verified information about organizations and products, which can be used to verify the authenticity of luxury goods, diamonds, and other high-value items.

Everledger also offers a traceability solution for global supply chains, which allows participants to track the movement of goods across the supply chain. The platform is built on the IBM blockchain, and all data is stored on the blockchain itself. This ensures that data cannot be tampered with or deleted and that it is available to all participants in the network. Everledger has already been successfully used to track

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diamonds, and the company is now expanding its operations to include other luxury goods and commodities.

STORAGE

In today's digitized world, data is one of the most valuable commodities. That's why it's so important to have secure data storage. With traditional centralized data storage systems, there is always the risk of data theft or hijacking. However, with Web 3.0 and dApps, data is split into chunks and transmitted through encrypted peer-to-peer connections. This makes it impossible for data to be stolen or hijacked.

Furthermore, since there is no central server for storing data in the dApps world, there is no possibility for third parties to access or control users' data. In other words, dApps provide the highest level of security for data storage. As more and more businesses move their operations online, dApps will become an essential part of ensuring secure data storage.

The following are a few examples of Web 3.0 storage apps:

Filecoin
Filecoin is a distributed file storage network that offers a number of advantages over traditional cloud storage solutions. First, it is perfect for storing large data sets. Second, it offers higher performance and better interoperability. Finally, it is just a fraction of the cost of traditional cloud storage solutions. As a result, Filecoin is an ideal solution for companies that need to store large amounts of data.

Filecoin's decentralized design makes it resistant to censorship and to single points of failure. The Filecoin network is powered by its native token, FIL. FIL tokens are used to pay storage providers for their services and to reward

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miners for their work in maintaining the network. Filecoin is an open-source project with a large and growing community of developers and users.

Sia

Sia is a decentralized storage service that operates on a peer-to-peer network. Files are stored on nodes across the network, and each file is encrypted and split into many small pieces. The file owner has full control over their encryption keys, and no one else can access the file without these keys. Sia is an appealing storage option for individuals and businesses who are concerned about data security and privacy. With Sia, there is no single point of failure, and files are replicated across the network to ensure durability. In addition, Sia offers competitive pricing, with storage prices currently at around $2 per terabyte per month.

MESSAGING

There's no denying that traditional messaging services — such as WhatsApp and Facebook Messenger — are somewhat convenient. However, when it comes to privacy, they leave a lot to be desired. Sure, you can add a layer of security by using encryption, but at the end of the day, your messages are still stored on centralized servers that can be hacked or accessed by government agencies.

That's why more and more people are turning to decentralized messaging services like Status. These platforms use peer-to-peer technology to ensure that your messages are stored only on your device and are not accessible to anyone else. As a result, they offer a much higher level of privacy than traditional messaging services. On top of that, they're also generally faster and more reliable, making them ideal for both personal and business use.

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Here are some of the best Web 3.0 messaging apps:

ySign
ySign is one of the latest platforms to harness the power of blockchain. A crypto wallet, message exchange, voice chat app, and cryptocurrency transfer platform are all available on ySign. Plus, thanks to the decentralized nature of blockchain, ySign is incredibly secure and scalable. So whether you're looking to send money to friends and family or make international payments, ySign could be the perfect solution.

Secretum
In recent years, there has been a growing trend in combining messaging and trading applications. A new entrant in this field is Secretum, which enables users to transfer crypto assets, including currencies and NFTs. The app is unique in that it requires only an e-wallet to sign-up. This makes it extremely easy to use and enables a wide range of people to trade with each other. The app also has a number of safety features, which ensure that your assets are protected.

Status
Status is an app that allows users to access the decentralized web, send cryptocurrency, and chat all in one place. The app combines a digital wallet, messenger, and Web 3.0 browser, making it an essential tool for anyone looking to take advantage of the burgeoning world of cryptocurrencies. Status is built on Ethereum, meaning that it is able to take advantage of all the features that Ethereum has to offer. In addition, the app is fully open source, meaning that anyone can contribute to its development. As the world of cryptocurrencies continues to grow, Status will only become more essential.

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BROWSER

Most people are aware that their traditional browsers — such as Microsoft Edge, Apple's Safari, Google Chrome, etc. — are not entirely private. These browsers collect data on everything the user does, from the websites they visit, to the searches they perform. This data is then stored in a central location, where it can be accessed by anyone with the right credentials. This leaves users vulnerable to data breaches, as well as to being tracked and monitored by advertising companies and other third parties.

Decentralized browsers offer a more private and secure alternative. They make it much more difficult for anyone to access or track the user's data. In addition, decentralized browsers are often open source, meaning that their code is available for anyone to audit and improve. As a result, they are constantly being improved and updated, making them more secure and private over time.

Decentralized browser applications for Web 3.0 include:

Beaker Browser
In addition to providing users with a private and secure browsing experience, the Beaker Browser also offers website hosting and building capabilities. This makes it an ideal platform for those who wish to create and host their own websites. The browser employs a unique peer-to-peer networking protocol that allows users to connect directly with each other, without the need for a central server. This provides a number of advantages, including increased security and privacy, as well as faster speeds.

Furthermore, the Beaker Browser is fully compatible with both conventional and decentralized web applications. This makes it possible to find and use a wide variety of web-based

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services and applications. As such, the Beaker Browser provides users with a unique and powerful tool for browsing, creating, and hosting websites.

Brave

Having a secure browser is important because the Internet has become such an integral part of our lives. We use it for everything from banking to entertainment, and we need to know that our personal information is safe. That's where Brave comes in. Brave is a blockchain-powered browser that is three times faster than Chrome and offers enhanced security and privacy. Additionally, it has protection from intrusive ads, which can be a major annoyance when trying to browse the web. And best of all, it features a built-in crypto wallet, so you can easily and securely store your digital currency.

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WHAT IS THE BUSINESS MODEL FOR A WEB3 COMPANY?

How a Web 3 company generates value, delivers, and captures it is referred to as its business model. Out of the three processes, most Web 3 companies focus on just one or two, but not all three.

This means:

- They cannot deliver or capture value, however, they can generate it;
- They cannot capture value, however, they can generate and deliver it;
- They can only capture value, they cannot generate or deliver it.

When one considers that during the dot com craze, some of these same growth issues were experienced, these shouldn't come as a surprise.

All these business model problems arise as a result of the fact that when a new technology is introduced, it doesn't initially come with a business model. The business model is usually developed later after a lot of trial and error.

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CASE STUDY OF A WEB3 BUSINESS MODEL

Stepn is a good illustration of the kind of business that uses a Web 3 business model.

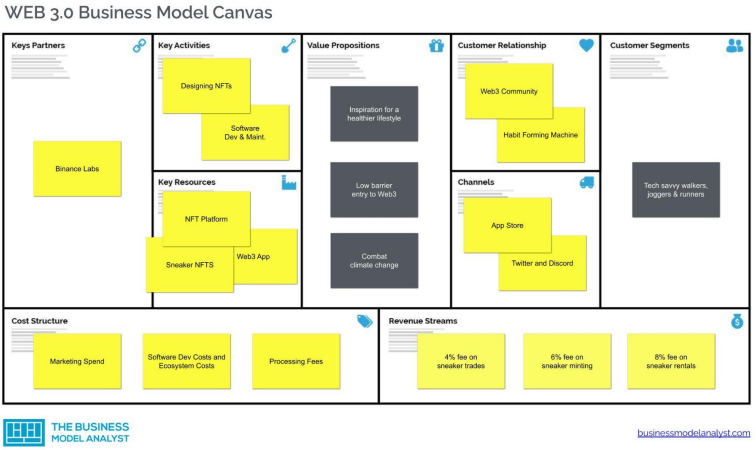
Stepn encourages individuals to walk, jog, and run outside by rewarding them with points and NFTs.

The majority of Stepn's customers are those who like walking, jogging, or running and are also familiar with using technology. Web3 is now confronted with a plethora of challenges, the most significant of which is the absence of cohesion in the procedures, tools, and skills that are necessary to get started. To start, they need to have a fundamental familiarity with Web 3.0 technology, but they do not necessarily need to be specialists in the field.

The value proposition offered by Stepn reduces the barrier to accessing Web3 in an effort to make the process of using its product easier. In addition to this, they want to assist individuals in maintaining their health while working against climate change. Stepn contributes a certain amount each month toward the cost of removing carbon dioxide from the environment in order to accomplish this goal.

Stepn acquires customers and distributes its products via the use of third-party platforms such as the App Store, Twitter, and Discord.

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They develop customer relationships by encouraging patterns of behavior that easily become routines — habit formation machines — and by making use of the Web3 Community. The gamification included in the app acts as an effective technique to ensure the loyalty of customers. Customers that use NFT have the potential to continue earning money when they are customizing their own footwear down the line.

Stepn makes money via a variety of activities like trading, minting, and renting sneakers. If they do not have them, their habit formation machine will not work as it should.

The Stepn program uses GPS in the same way as Fitbit does to track your activity and steps taken throughout the day. They need to come up with sneaker NFTs that are appealing and have a robust presence on the internet.

As for resources, they make use of the Web3 App, the NFT Platform, and the Sneaker NFTS.

The whole of this process calls for financial expenditure, which is represented in the cost structure of the business

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model used by the organization. In addition to paying for any potential transaction fees, this takes care of the costs associated with marketing, software, and the ecosystem.

They now have a collaboration with Binance Labs, but in the not-too-distant future, there is a possibility that they may develop agreements with businesses that provide athletic footwear. Due to the fact that sneaker collecting is so common among customers, using this tactic would serve them rather well in terms of their business model.

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EMERGING WEB 3.0 BUSINESS MODELS

In the past decade, initial business models for Web 3.0 were either not repeatable or scalable and instead attempted to emulate the business models used in Web 2.0. Despite the pessimism over their applicability, there is a certainty that the experiments that are currently being conducted by some of the most intelligent builders will, within the next few years, lead to the production of models that are pretty useful.

By evaluating both well-established models and new, unproven ones, we intend to get some insight into the ways in which some Web 3.0 business models may increase in value over the course of the next few years.

ISSUING A NATIVE ASSET

Bitcoin was the first cryptocurrency to be created. The Bitcoin network was responsible for the development of the first Byzantine Fault Tolerant and fully open P2P networks. These networks were built with the help of Proof of Work and the Nakamoto Consensus.

The basis of this business model is Bitcoin (BTC), a digital asset that can be proven to be scarce and is given out to miners as a reward for each successfully mined block. The precedent set by Bitcoin (BTC) and Litecoin (LTC) has been followed by a plethora of other cryptocurrencies, such as

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Ethereum (ETH), the Monero virtual currency (XMR), and the ZCash digital currency (ZEC).

By offering a sufficient incentive for honest miners to contribute their hashing power, the cost for attackers to carry out an attack grows along with the price of these native assets. As a result, the increased security raises demand for this currency, raising its price and worth.

HOLDING THE NATIVE ASSET, BUILDING THE NETWORK

Among the first cryptocurrency companies to be established were ones whose sole mission was to boost the profitability and value of their existing networks. The growth of their native asset treasury and the establishment of a functioning ecosystem make up the entirety of their business model. As one of the most significant Bitcoin Core maintainers, Blockstream relies on its BTC balance sheet to generate value for the Bitcoin network. In the meantime, ConsenSys has expanded to include more than a thousand individuals, all of whom are committed to increasing the value of the Ethereum (ETH) that the company possesses.

Because of the way this business model works, once the initial few businesses have been established, it will be challenging to replicate the model due to the fact that it will be challenging to amass a significant enough balance of local assets, and it will require a significant enough commitment to begin and continue operations in order to generate exponential profits. For instance, it would be illogical for any company other than the central bank of the United States to concentrate entirely on retaining huge quantities of USD while also working to strengthen the economy of the United

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States.

TAXATION ON SPECULATION (EXCHANGES)

The development of the financial infrastructure needed for these assets, including exchanges, custodial services, and derivative providers, was the focus of later business models. Every one of them was founded with the sole purpose of serving a single purpose: to serve as a resource for anyone interested in speculating on these high-risk assets. Multi-billion-dollar companies — such as Coinbase, Bitstamp, and Bitmex — do not demonstrate any monopolistic tendencies. Instead, they make the underlying networks they support more accessible and add value to them. Holding a dominant position is untenable because the underlying network is open and doesn't require permission to access. However, the liquidity and brands possessed by these enterprises will, in time, form strong and defensible corporations.

PAYMENT TOKENS

A new wave of blockchain initiatives has emerged that leverage payment tokens within networks as the foundation for their own business models. Many of these platforms are establishing two-sided marketplaces and requiring users to make use of a native token when making payments. According to these hypotheses, as the economy of the network continues to expand, the demand for the restricted native payment token will continue to grow, which will ultimately result in an increase in the value of the token.

These token models with disputed value accrual have an

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obvious detrimental influence on the user experience: what might previously have been paid in ETH or DAI now needs to be accomplished in two separate transactions. As a result of the friction-inducing features it possesses, this strategy has been mostly forgotten about ever since the token fever of 2017 and has gone out of favor as a result.

BURN TOKENS

Communities, organizations, and initiatives that use tokens might not always be able to directly transfer earnings to token holders. However, the idea of token buybacks and token burning has gained a lot of attention as a feature of the Binance (BNB) and MakerDAO (MKR) tokens. Trading fees on Binance and stability fees paid to MakerDAO provide earnings, which are then used to buy and burn native tokens, thereby reducing the total quantity and increasing the value of the token. Arjun Balaji's (The Block) critique of the process of burning tokens is certainly something that should be looked at. In it, he asserts that there is no change in the "revenue per token" since there is no distribution of dividends.

WORK TOKENS

The work token is an emerging business model for decentralized networks. This model focuses only on the supply side of the network's revenue production in order to minimize the amount of friction that users experience while interacting with the network. The REP token that Augur uses and the KEEP token that Keep Network uses are two famous examples of this. In the same way that taxi medallions need an investment, service providers need to put up a certain number of their own local tokens before they can be allowed to operate for the network.

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Work tokens are a powerful incentive system for services provided to the network. Service providers will be rewarded with both incentives and stakes, which can then be reduced over time depending on how much work they do in providing honest service that benefits everyone else within the community. It's possible to evaluate them by anticipating future cash flows.

The future cash flows that are forecasted to be attributed to all network service providers should give a value and corresponding price for these tokens. These assumptions can also depend on how the networks will likely function in practice, making them an important factor when it comes down to deciding what exactly your digital currency is worth.

OTHER MODELS

A number of other models that are noteworthy include:

- Dual token models in which one asset absorbs the volatility of usage variations while the other asset is held stable to enable efficient transactions and the exchange of value;
- Governance tokens provide users the ability to influence specific characteristics of the network, such as fees and the order in which new features are developed;
- Digitally, assets are represented as "tokenized securities", which might include everything from shares to bills to commodities to real estate;
- The Starkware team came up with the concept of Tech 4 Tokens. They want to make their technology

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available as an investment in return for tokens, which will enable them to establish a treasury for each and every one of the projects that they collaborate on.

BLOCKCHAIN AS A SERVICE (BAAS)

In recent years, there has been a lot of buzz around blockchain technology and its potential to revolutionize the way we do business. One area where blockchain is starting to make a real impact is in the realm of cloud computing.

Blockchain as a Service (BaaS) is a new model that enables businesses to build and deploy blockchain-based applications without having to manage the underlying infrastructure. This gives organizations the ability to experiment with blockchain without incurring the significant up-front costs associated with setting up their own private blockchain network.

In many cases, BaaS platforms also include features such as smart contract capabilities and user management tools. BaaS providers typically offer a suite of tools and services that make it easy to develop and deploy blockchain applications. As the BaaS market matures, we are likely to see more providers emerge, offering innovative new ways to help businesses harness the power of blockchain.

How Does the Blockchain-as-a-Service Business Model Work?

As the name suggests, this kind of business model illustrates how third parties may develop, operate, and maintain a blockchain on behalf of a company. This means infrastructure and technology related to blockchains are subject to a fee if they are provided by a service provider that charges for this

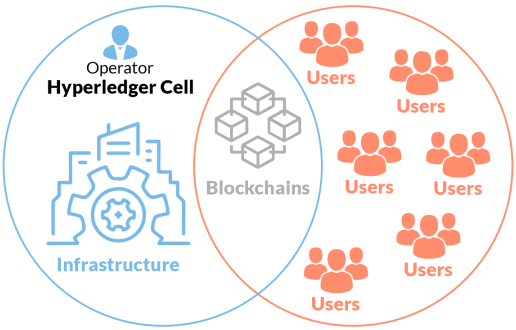
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service.

When it comes to a business, blockchain-based services are comparable to web hosting providers in a number of ways. The use of cloud computing allows for the creation of blockchain applications and smart contracts, both of which may be hosted inside the ecosystem of the provider.

Integration of BaaS into traditional organizations is beneficial for resource allocation, bandwidth management, data security, and hosting requirements. By using Blockchain technology services, companies are free to concentrate only on their primary operations rather than the complexities of implementing Blockchain technology.

Example of Blockchain-as-a-Service (BaaS)



The graphic above illustrates Hyperledger Cello, which is a BaaS-like blockchain module toolkit and utility system that is part of the Hyperledger project.

Hyperledger is an open-source project that is supported by the Linux Foundation. It is a collaborative effort to advance blockchain technology across industries. The project was launched in December 2015, and its goal is to provide a standard framework for developing blockchain applications.

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Hyperledger is unique in that it is not a single blockchain, but rather a collection of tools and technologies that can be used to build blockchain applications. This makes it well-suited for businesses and organizations that want to develop their own blockchain solutions. Some of the most notable members of the Hyperledger community include IBM, Intel, and J.P. Morgan.

How Blockchain-as-a-service is Shaping Businesses

Blockchain technology is often associated with cryptocurrency, but the potential applications of blockchain extend far beyond Bitcoin and other digital currencies. In fact, blockchain-as-a-service (BaaS) is becoming increasingly popular among businesses of all sizes. BaaS platforms allow businesses to develop and deploy their own blockchain applications without having to invest in the underlying infrastructure. As a result, BaaS is helping to make blockchain technology more accessible and easier to use for a wide range of organizations.

One of the key benefits of BaaS is that it can help businesses to streamline their operations. For example, a supply chain management company can use BaaS to develop a blockchain application that tracks the movement of goods through the supply chain. This can help to improve transparency and accuracy while reducing costs and delays. In addition, BaaS can also be used to create applications for identity management, data security, and other areas.

According to a recent report, blockchain-as-a-service is expected to grow at a compound annual growth rate of 62.2 percent between 2020 and 2026. This would put the market size at $11.5 billion by 2026. The report attributes this growth to the increasing demand for cloud-based services, the need for transparency and immutability in certain industries, and the growing number of use cases for blockchain technology.

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As the report notes, blockchain-as-a-service provides an easy way for businesses to experiment with blockchain without having to invest in the infrastructure themselves. With the rapid growth of the blockchain-as-a-service market, it is likely that we will see even more innovation in this space in the years to come.

BaaS for startups

Blockchain-as-a-Service (BaaS) is a cloud-based platform that allows startups to build, test, and deploy blockchain applications without the need for expensive hardware or software. BaaS provides all the tools and resources necessary to create a working blockchain application, including a user-friendly interface, templates for popular blockchain use cases, and access to a network of experts. As a result, BaaS is an ideal solution for startups that want to explore the potential of blockchain technology without incurring significant costs or risks. While BaaS is still in its early stages of development, it has already attracted the interest of several major tech companies, indicating the potential for this new platform.

Industry-wise use cases of Blockchain-as-a-service

Blockchain technology is often seen as something that is only used by financial institutions. However, the blockchain can actually be used across a wide range of industries. One area where blockchain is being used increasingly is in the area of supply chain management. By tracking items on the blockchain, businesses can ensure that they are getting the products they ordered and that they are not counterfeit. Because of the various benefits it has, blockchain-as-a-service has been and is currently being implemented in these industries:

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Healthcare

Blockchain has revolutionized healthcare in a number of ways. First and foremost, it has created a new model for storing and sharing medical data. Traditional medical records are often scattered across different institutions, making it difficult to get a complete picture of a patient's health. Blockchain provides a decentralized way to store medical data, making it more accessible and secure.

Secondly, blockchain has enabled the development of new applications that can help improve the quality of care. For example, there are now platforms that allow patients to directly connect with doctors and specialists. These platforms use blockchain to verify the identities of patients and doctors, ensuring that only legitimate healthcare providers can participate. In addition, blockchain-based applications can also help to track the provenance of medicines, making it easier to identify and recall counterfeit drugs.

Finally, blockchain is also being used to develop new financial models for healthcare. For instance, there are now platforms that allow patients to pay for their care with cryptocurrency. This allows patients to avoid the high cost of traditional health insurance while still getting access to quality care. As these examples show, blockchain is having a profound impact on healthcare. It is creating new ways to store and share data and new ways to improve the quality of care.

Automotive

Here are just a few ways that this technology is making waves in the automotive sector:

1. Blockchain-based apps are making it easier to buy and sell cars;

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2. Blockchain is being used to track the provenance of car parts;

3. Blockchain is helping to streamline the process of vehicle registration;

4. Blockchain-based smart contracts are being used to facilitate the sale of cars;

5. Blockchain is being used to develop new types of car insurance products.

These are just a few examples of how blockchain is starting to transform the automotive industry. With so many potential applications, it's clear that blockchain is here to stay in the world of cars.

FinTech

In recent years, blockchain technology has revolutionized the financial sector. By providing a secure, decentralized platform for transactions, blockchain has made it possible for fintech companies to offer a wide range of innovative services. For example, blockchain-based payments can be processed quickly and securely, without the need for a central authority.

Blockchain has also enabled the development of new business models and applications, such as peer-to-peer lending and digital currencies. The adoption of blockchain by the financial sector is still in its early stages, but it is clear that this technology has the potential to disrupt the status quo.

In addition, blockchain-based lending platforms can provide loans to borrowers with less risk of default. As a result, blockchain has the potential to transform the financial sector, making it more efficient and accessible.

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Transportation and logistics

Blockchain technology has revolutionized the transportation and logistics industries by providing a way to track and verify the movement of cargo and people. The use of blockchain allows for a more efficient and fault-proof verification process, which can help to improve the efficiency of cargo movement and reduce the cost of verifying goods and people.

In addition, blockchain can help to improve the security of transportation and logistics operations by providing a secure and tamper-proof record of transactions. As a result, blockchain has the potential to revolutionize the way transportation and logistics operations are conducted.

Document tracking

The advent of blockchain technology has revolutionized the way organizations track documents. By creating a tamper-proof and transparent record of document changes, blockchain has made it easier than ever to ensure that data is accurate and up-to-date. In the past, tracking document changes involved a complex and often unreliable chain of custody.

But with blockchain, it is now possible to keep a secure and immutable record of all changes, from the time a document is created until it is finally destroyed. This not only helps to prevent corruption and fraud, but also makes it easier to audit document changes and retrieve previous versions of files. As a result, blockchain has emerged as a powerful tool for ensuring the security and integrity of documents.

Data storage

In the past, data was stored centrally on servers that were owned and operated by companies, such as Google and

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Facebook. However, this model had a number of drawbacks.

First, it was expensive to maintain servers and hire staff to manage them. Second, it was vulnerable to hacking and other security threats. Third, it gave these companies too much control over our data. Blockchain has changed all that. By distributing the data across a network of computers, blockchain provides a more secure and decentralized way to store data. This not only reduces the costs for companies, but also gives users more control over their data.

In addition, blockchain makes it possible to verify the authenticity of data, which is essential for many applications such as banking, healthcare, real estate, and voting. As a result, blockchain is changing the way we store data and ushering in a new era of decentralized data storage.

Contract execution

In the past, contracts were written on paper and then signed by both parties. This was a lengthy and cumbersome process that often resulted in mistakes. With the advent of blockchain technology, however, contracts can now be executed via smart contracts. These are essentially self-executing contracts that are stored on the blockchain. This means that they cannot be altered or tampered with, and they are automatically enforced. This has revolutionized the way contracts are executed, as it is now much faster and more efficient. In addition, smart contracts can also be used to enforce other agreements, such as financial transactions.

LOW-CODE AND NO-CODE WEB3

In the early days of the internet, building a website required learning HTML and CSS. These days, there are a variety of platforms that allow users to create websites with little to no

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coding knowledge. These platforms are often referred to as low-code or no-code platforms. There are a number of advantages to using these kinds of platforms.

First, they lower the barrier to entry for creating websites. This means that anyone, regardless of their coding ability, can create a website. Second, they save time and energy. Building a website from scratch can be a time-consuming process. However, with a low-code or no-code platform, you can create a website in a fraction of the time. Finally, they provide a wide range of features and customization options.

Low-code and no-code Web3 platforms offer a way to build decentralized applications without the need to write any code. This is enabled by pre-built components that can be assembled into comprehensive apps without any coding required. For example, one popular low-code platform is Ethereum's Truffle Suite. It includes many tools for developers to create, test, and deploy their dApps efficiently.

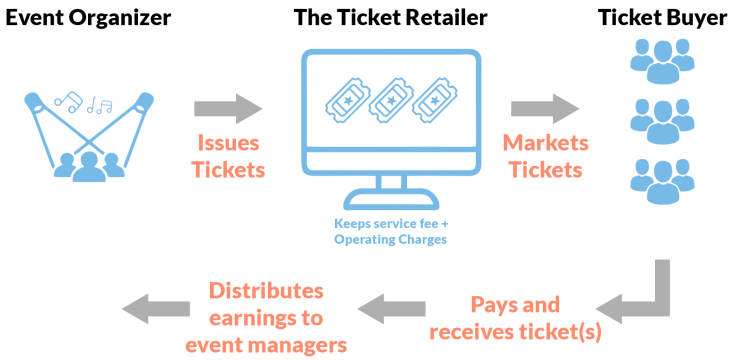
In addition, low-code platforms often come with user-friendly interfaces that make it easy for non-technical users to build decentralized applications. This is perfect for those who want to get started with blockchain technology but don't have the coding skills necessary to build an app from scratch. With a low-code or no-code platform, anyone can create a decentralized application with ease.

EVENT TICKETING MARKETPLACE

Many people might not know this, but there's a whole industry built around event ticketing. Plus, it's a pretty big business too — in the U.S. alone, the concert and live entertainment industry are worth over $40 billion. The ticketing marketplace is just a small piece of that pie, but it's still a fairly sizable market. There are a few different ways that

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companies in the space make money. These companies, in essence, act as middlemen between event organizers and fans. They build technology that makes it easy for organizers to sell tickets and promote their events, and then they take a cut of each ticket sale. In some cases, they also charge Eventbrite-style fees for using their platform. It's a simple business model, but it can be quite profitable - especially if you have a large enough scale.



Example of Event Ticketing Business Model

Eventbrite is a popular event planning and ticketing website. Founded in 2006, Eventbrite has helped people plan and attend millions of events around the world. Eventbrite is easy to use and offers a wide range of features, making it a great choice for both small and large events. You can use Eventbrite to create an event listing, sell tickets, and promote your event. Eventbrite also offers a variety of tools to help you manage your events, such as guest list management, check-in, and event analytics.

The core of Eventbrite's business model is the collection of a transaction fee from each customer for every ticket they sell, payable by either buyers or organizers. The company also generates cash by renting out actual equipment — such as

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scanners, for example — to people who are hosting events.

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WEB3 BUSINESS MODELS EXAMPLES

BITCOIN

David Chaum is widely credited as the inventor of digital cash. In 1983, he proposed the concept of "blind signatures", which would allow for secure financial transactions without the need for a third party. In 1989 and 1991, David Chaum launched DigiCash, an electronic payment system that used blind signatures to ensure security. However, DigiCash failed to gain widespread adoption and later went bankrupt in 1998.

However, it was not until 1998 that digital cash began to gain traction. In 1998, Nick Szabo proposed "bit gold", a system that would use cryptography to create a decentralized currency. Unfortunately, bit gold never caught on. Finally, in 2008, an anonymous person or group of people under the pseudonym Satoshi Nakamoto released the Bitcoin white paper, which proposed a decentralized digital currency based on blockchain technology. 2014 saw the emergence of Blockchain 2.0, which extended its use case beyond money. Bitcoin would go on to become the first and most successful cryptocurrency in history.

More About Bitcoin
Bitcoin is a digital asset and a payment system invented by

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Satoshi Nakamoto. Transactions are verified by network nodes through cryptography and recorded in a public dispersed ledger called a blockchain. Bitcoin is unique in that there is a finite number of them: 21 million.

Distributed ledger technology (DLT) is used to create and manage the Bitcoin blockchain ledger. Bitcoin is one of several so-called "cryptocurrencies", although it is by far the best known. Cryptocurrencies are digital or virtual tokens that use cryptography to secure their transactions and control the creation of new units. Cryptocurrencies are decentralized, meaning they are not subject to government or financial institution control.

The first decentralized cryptocurrency, bitcoin, was created in 2008. Since then, numerous other cryptocurrencies have been created. These are often called "altcoins", short for "alternative coins". Today, there are thousands of different cryptocurrencies in existence, with new ones being created all the time.

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ETHEREUM

Ethereum is a decentralized platform that runs smart contracts: applications that run exactly as programmed without any possibility of fraud or third-party interference. Ethereum is how the Internet was supposed to work. It was launched by Vitalik Buterin in 2015. The goal of Ethereum is to create a decentralized suite of financial products that anyone in the world can access, regardless of nationality, ethnicity, or religion. These products would be available on a peer-to-peer network, with no need for intermediaries like banks or governments. In other words, Ethereum aims to be a one-stop shop for all your online financial needs.

The native currency of the Ethereum network is ether (ETH). ETH is used to pay for transaction fees and computational services on the Ethereum network. One of the unique features of Ethereum is that it allows users to create their cryptocurrencies, called tokens. Tokens can be used to represent assets such as shares in a company, or they can be used to represent loyalty points or voting rights. There are currently over 1,000 tokens built on top of the Ethereum network, with more being created every day.

Decentralized applications have been gaining popularity since the creation of Bitcoin and the rise of blockchain technology. They offer a number of advantages over traditional apps, including increased security, transparency, and censorship resistance. Ethereum's dApp platform is the most widely used, and it has the largest selection of dApps. It also has the best tooling and developer support.

Ethereum is used to build a decentralized application (dApp) ecosystem. DApps are open source and deployed on the Ethereum blockchain. They are composed of smart contracts

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— computer programs that run on the Ethereum Virtual Machine, or EVM. The EVM can execute scripts using an international network of public nodes. The most popular dApp platforms are Ethereum, EOS, and TRON.

SOLANA IS A BLOCKCHAIN

The Solana blockchain was created in 2017 by a team of developers with experience working on major projects like the Filecoin protocol and Amazon Kinesis. The goal of the project was to create a high-performance blockchain that could handle thousands of transactions per second. To achieve this, the Solana team implemented a number of innovative features, including proof-of-history and Sealed Ledger. In addition, they designed the Solana platform to be fully compatible with Ethereum smart contracts. As a result, Solana has emerged as one of the most promising young blockchains in the space. And with a growing ecosystem of applications and services, it is only getting more popular.

BASIC ATTENTION TOKEN

Basic Attention Token is a cryptocurrency that is used to obtain advertising and attention-based services on the Brave platform. The token can be used to tip content creators, or it can be used to purchase advertising on the platform. Brave is a web browser that blocks advertisements and trackers and instead rewards users with Basic Attention Tokens for their attention.

The overall goal of the project is to improve the efficiency of digital advertising while also protecting user privacy. Basic

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Attention Token is just one example of a growing trend of so-called "attention-based" cryptocurrencies, which seek to reward users for their attention in some way. While Basic Attention Token is still in its early stages, it has the potential to upend the current digital advertising landscape.

ERC20 UTILITY TOKEN

The Graph Token (GRT) is an ERC20 Utility Token and a decentralized protocol that allows developers to access data from the Ethereum blockchain. The project was launched in October 2018 by a team of experienced researchers and engineers. The Graph Token is based on an indexing protocol and is being used by the popular Uniswap decentralized exchange. The protocol allows developers to query data from the Ethereum blockchain in a more efficient manner than traditional methods.

The Graph Token protocol is designed to be scalable and efficient, and it currently supports queries from over 1,000 dApps. In addition to providing data for developers, The Graph Token also allows users to stake their tokens to help curate data for the network. Indexers and/or stakers are rewarded with fees from developers who use the network to access data. Curators and delegators, who also serve as network ministers, help maintain a high-quality index. The Graph Token is an important part of the Ethereum ecosystem, and it is one of the most promising projects in the space.

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HOW DO WEB 3.0 BUSINESS MODELS MAKE MONEY?

The Web3 business model has produced a number of new revenue streams, including:

Making money off your own data.
Everyone should now be aware that, due to the way Web 2.0 works, internet companies like Facebook and Google make a significant amount of money by collecting and selling the data we voluntarily contribute whenever we interact with their services. In exchange for the disclosure of our personal information, what do we stand to gain? Nothing, except the fact that they are willing to provide us with their services; other than that, they don't really offer anything else.

Due to the prevalence of Web 2.0, it is quite unlikely that this structure will be altered in the very near future. On the other hand, Web 3.0 makes it possible for other people to make money off of the data that we generate every time we log in. The technology behind blockchain makes all of this feasible.

The people who own the platforms on which the blockchain operates are in charge of their own data, and this indicates that the people who create it are in control of their own data. This means that tech companies don’t own the data that is stored on the blockchain. By using the protocols of Web 3.0, we are now in a better position than ever before to collect,

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safeguard, and take advantage of our own data.

Minting your own currency.
The Federal Reserve no longer has monopoly status with regard to the minting of currency. It is possible to generate your own personal tokens or cryptocurrencies by making use of the technologies that come with Web 3.0 and using platforms such as Privi. You may reward your social media followers or members of other networking systems with tokens by assigning a monetary value to each token.

The greater the number of transactions that take place, the higher the value of the tokens, which in turn drives up the demand for personal tokens. The greatest aspect is that the developer will always have authority over the entire number of these tokens, which may be seen as equivalent to a company's cash or shares. People who have tokens are encouraged to share items that they have purchased with their tokens in order to boost demand as well as the value of the tokens that they own.

Democratize ownership of physical properties.
Whatever version of the internet is judged to be the most current, from web 3.0 to web 27, real estate, apartments, and condos in major cities across the world, as well as vacation properties in exotic areas throughout the world, will always have the greatest value.

Instead of putting their property up for sale on the local real estate market, owners of real estate can now effectively convert their property into a digital asset that is supported by an NFT as a result of the development of Web 3.0. This can be done in place of selling the property on the local real estate market. With nothing more than some crypto coins, it is possible to purchase these assets in very minor chunks, maybe totaling as little as a few percent of their overall worth. After that, the responsibility for administering the property

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would be passed on to a decentralized insurance pool.

People like you and me who are interested in acquiring a piece of the growing real estate markets in wealthy locations can take advantage of this opportunity. Real estate owners who want to expand and widen the market for their properties outside of the conventional real estate business are also eligible to benefit from this opportunity.

Revolutionize the credit industry.
The idea that monopolies are undesirable and that healthy competition is advantageous is one of the most basic tenets of economics. Large banks have such a stranglehold on the credit industry that, as a result, they decide the qualifications for who is granted credit and who is not. As a result, many average people are denied the opportunity to invest and generate money for seemingly random reasons.

The decentralized credit pools of Web 3.0 have the potential to end the monopoly that the big banks now have on the provision of credit. This would include groups of crypto lenders coming to an agreement on how much they are willing to lend and how much interest they would want to receive in return. Decentralizing the provision of credit has the potential to generate profits for the lender and give access to necessary loans to those who, under traditional circumstances, would be denied such access. They might use this to start their own businesses and make money from the goods and services they provide, or they could just use it to build up their fortunes. Either way, they would benefit from its use.

Start or Work for a Decentralized Autonomous Organization (DAO).
Because of web3, a decentralized autonomous organization, also known as a DAO, has the potential to become the employer of the future. Alternatively, it might become a

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means by which people donate money to causes and philanthropic activities.

One potential source of income for a decentralized autonomous organization (DAO) is a financial transaction supported by smart contracts. The majority of the time, these organizations collect funds by giving tokens, which are essentially their own kind of cryptocurrency, to the people who join their community.

Every transaction that takes place with or between a DAO and any other entity is recorded, displayed, and verified using blockchain technology. As a result of this, decentralized autonomous organizations (DAOs) are able to do business or campaign for particular causes with individuals who share their values no matter where they are located on the planet and without the interference of any bureaucracy, superiors, or third parties. Because of the capabilities of blockchain technology and Web 3.0, there are no secrets to be found in a DAO.

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WEB3 NETWORK EFFECTS

Throughout the course of the previous decade, the ascent and dominance of Web2 platforms were both propelled by network effects, which piqued the attention of both software developers and financial backers. This interest led to increased activity in the respective markets. While some think that Web3 will entirely abolish network effects, other people feel that Web3 will have even more substantial network effects than Web2 did.

The discussion about Web3 that is taking place now is filled with hype and hyperbole, but the answer lies in modifying our mental models of network effects. For instance, it's possible that we won't be able to quickly apply what we've learned in Web2 to a situation in Web3 right away. Due to the fact that Web3 is an entirely new world, it is imperative to study network effects and get an understanding of how they adapt as we transition from Web2 to Web3.

NETWORK EFFECTS IN WEB2 VS WEB3

To have a clear understanding of network effects in Web3 ecosystems, one must first have a firm grasp of the distinctions that exist between Web2 and Web3 ecosystems, as well as an awareness of the ways in which these distinctions influence the creation of network effects.

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1. In Web2 ecosystems, the platform provider is the entity responsible for building and maintaining the market infrastructure. In a Web3 ecosystem, a platform provider is not required to provide market infrastructure in order to provide market infrastructure; rather, the ecosystem itself offers market infrastructure via resource commitments and infrastructure building. When it comes to producing and expanding network effects, Web3 ecosystems have challenges that are unique to themselves, since not only do they need to coordinate market activity, but they also need to create market infrastructure;

2. The use of tokens enables the acceleration and expansion of network effects. Tokens are the primary means by which market activity is managed. As the market gets more active, it is possible that producers may be rewarded with tokens whose value rises in order to thank them for bringing supply to the platform at an earlier stage. To a similar extent, the developers who are in charge of putting up the market infrastructure might be paid with tokens for the provision of important infrastructure components. Tokens, in contrast to Web2 ecosystems, provide a fresh method of incentivizing participants;

3. Because of Web3's interoperability, data and reputation may move around more freely, which makes network effects less tenable. Web3 ecosystems are unable to rapidly build up network effects due to the fact that they are unable to "lock in" their users or extract a lot of value from user data in the same efficient and now notorious manner that their Web2 predecessors achieved.

Last but not least, market actors make up the vast bulk of Web2 ecosystems. Participants in Web3 ecosystems need to

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be taken into consideration not just at the market level, but also at the infrastructure level, the financial layer, and the governance level. For example, Etsy is a marketplace that allows third-party merchants to join. However, the infrastructure of the marketplace is built in-house, and the marketplace itself is responsible for financial and administrative tasks. On the other hand, a Web3 commerce protocol has to:

1. Create market infrastructure centered on the protocol and manage its establishment at the infrastructure layer;

2. Maintain the liquidity of tokens in such a way that the funding layer may be used to foster the growth of financing opportunities and the value of tokens. This, in turn, will provide all participants with an incentive;

3. Broaden the scope of governance so that it includes not just the founding team, but also additional players in the ecosystem.

MENTAL MODELS

Nature Of Value

The most important source of value for Web2 networks is the combination of the value of the product and the value of the network. The value of tokens is an additional value that is available in Web3.

STANDALONE VALUE:

Because it is derived only from the product, the value that a platform has is referred to as its standalone or product value. This value exists even if no one utilizes the platform. To put it another way, this is the value that a user obtains from a platform, and it is independent of how other users are using

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the same platform. Those users that sign up for the platform early will also be in a position to take advantage of the platform's value. The value of the platform will not change even if more individuals sign up for it. The stand-alone value may often be traced back to the platform's underlying technology.

NETWORK VALUE:
Network value refers to the value created on a platform by the actions of other users. This is the value added to the platform by other users' activities and use. Network value is lost when there are no users on a platform in its infancy. The network value does not accrue to the initial user who joins the platform. Nevertheless, the platform's network value improves as more people make use of it.

When it comes to Web2 platforms, the only individuals you'll meet are those that make use of such platforms themselves. The value that Web3 platforms provide to networks is raised even more as a result of the fact that the community of users is the key engine of value creation in Web3 ecosystems.

TOKEN VALUE:
The accumulation of value by a native token that is connected to a protocol is referred to as token value on Web3 systems. Protocols, which are fundamental components of Blockchain technology, make it possible for information to be exchanged between cryptocurrency networks in a manner that is both secure and dependable.

The value of the connected token that belongs to a protocol goes up in direct proportion to how popular the protocol is. Early adopters, who will be rewarded with tokens if they join the network, will be able to profit from the platform's token value growing over time. Therefore, the value of tokens represents a new way of jump-starting and scaling up network effects on the blockchain.

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Managing Market Activity Vs. Market Infrastructure

The concept of a network in Web3 networks is also unique in comparison to that of other kinds of networks. Producers and consumers are the major actors in the process of value production and exchange in Web2 networks. Developers may be able to add functionality to Web2 platforms, but it is ultimately the responsibility of the platform owner to provide the necessary market infrastructure. For instance, participants in web2 marketplaces participate in transactions, but web3 marketplace actors include those who provide the necessary market infrastructure to allow these transactions.

Participants in Web3 are the ones who are tasked with developing the underlying market infrastructure. Instead of putting resources in a centralized location, participants in an ecosystem may choose to contribute their resources, such as computer power, storage space, and so on. The market infrastructure is built around the protocol by the developers, which allows both consumers and producers to interact in the market.

In Web 2, platforms facilitated the integration of market infrastructure and market regulation. The infrastructure of the market, as well as the regulation of the market, are both supplied by marketplaces — such as Amazon, eBay, Upwork, Uber, and many more like it —, which integrate all of these aspects into a single platform.

Web3 divides market infrastructure from market governance into two distinct categories. The protocol layer is responsible for encoding the fundamental aspects of market regulation. The ecosystem that surrounds the protocol may be responsible for building components of market infrastructure.

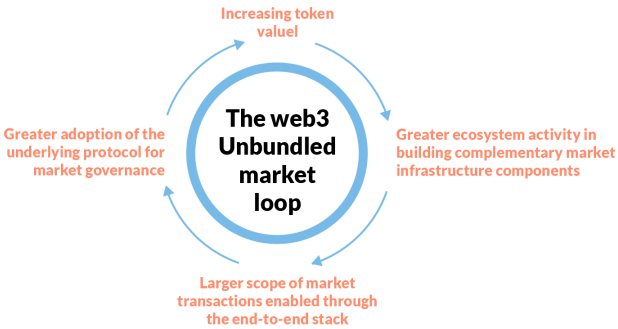
On Web2 platforms, it is the responsibility of platform administrators to regulate network effects while also addressing supply and demand overlap. If all of Airbnb's early

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listings were situated in Delaware, for instance, but potential guests were seeking accommodation in Los Angeles, then there would be no sales at all. To successfully manage the Web2 network effects, it is important to coordinate and overlap the processes of creating market infrastructure and providing support for market activities.

On the other hand, in order to get developers to participate in the project, web3 platforms would have to provide an incentive in the form of a reward to stimulate innovation that meets the demands presented by their users.

It is essential to exercise control over both the level of activity within the market and the scalability of the infrastructure within the market if one is to effectively manage the network effects that Web3 has. When Web3 ecosystems reach this state of equilibrium, a positive feedback loop is established, which permits the continued development of the ecosystems.



Countering, Switching, And Building For Defensibility

One of the most important differences between Web2 and Web3 is that Web3 has a lower degree of defendability against the impacts of network effects.

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Web2's defensibility relies on four distinct forms of accumulated or stored value: 1) the data collected by the platform, 2) the content that was committed to the platform, 3) the reputation that was acquired on the platform, and 4) the influence that was generated on the platform.

In Web2, each of the four kinds of cumulative value was limited to a certain platform. In Web3, on the other hand, all four types of cumulative value are easily transferable across platforms. New marketplaces are easily able to attract individuals by simply consolidating the various NFTs that are already available to the public. Users are able to move both their data and all their activity to other platforms in an easy and seamless manner.

Despite the fact that web3 holds the promise of a surge of innovation, the individual platforms' ability to benefit from it and keep their share of it decreases.

Any technique for developing network effects has to take into consideration both the low switching costs and the absence of cumulative value in web3.

Managing Extraction

Network effects and high switching costs made it possible for Web2 platforms to engage in excessive data extraction and control over their customers, both of which resulted in financial benefits for the Web2 platforms.

It is essential to come up with a system that allows for simple switching and extraction if Web 3.0 is going to have any hope of successfully managing the impacts of network effects. In contrast to the ecosystem of Web2, Web3 provides infrastructure for marketplaces as well as resources for the people who participate in such markets. Actors in the Web3 ecosystem need the ability to secure their returns on investment against commoditization and changes in policy so

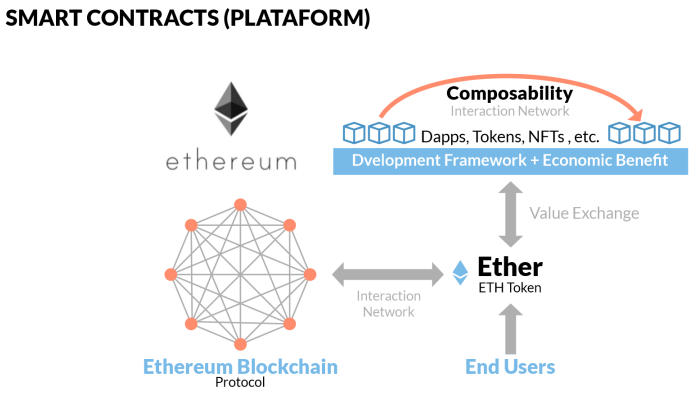
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that they may continue to preserve their capacity to contribute resources and innovative capabilities.

When it comes to regulating network effects in Web3 ecosystems, managing extraction is very necessary. In an environment based on open-source software, excessive extraction will result in forking, which will lead to ecosystem actors giving up on the original protocol. In addition, improved coordination characteristics in Web3 make it possible for ecosystem actors to abandon a protocol and instead organize themselves around a forked version of it.

CRYPTO & NFTS: NETWORK EFFECTS IN WEB3

Ethereum: Layer 1 Protocol

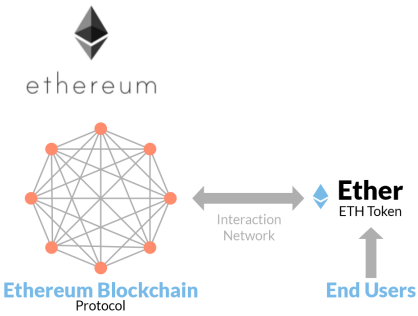


It is common to refer to Ethereum as a Layer 1 protocol. This terminology describes Ethereum as the "computer" of the blockchain, on which other projects may be developed. The picture above illustrates the three different kinds of Ethereum network effects.

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Ethereum Blockchain and Ether Token (Interaction Network)

SMART CONTRACTS (PLATAFORM)



The Ethereum blockchain is a distributed ledger that is stored on a network of interconnected computers, known as nodes. This network of nodes is responsible for confirming that transactions are legitimate and producing new Ether tokens as a reward for their hard work. It is important to add new nodes to the protocol in order to support extra token transactions and developer activity. At first glance, this seems to be a straightforward and unidirectional network effect. Adding more nodes to the protocol, however, does not significantly increase the value of the protocol for the existing nodes. Because there is now more competition for verifying transactions and minting new tokens, the value of other nodes has actually decreased as a consequence of this development.

Adding more nodes to the network has a number of advantages, the most important of which is an expansion of its capacity and, therefore, an increase in its value to buyers of Ether tokens. As more individuals get their hands on Ether tokens, the value of those tokens rises, making it more

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appealing for nodes to participate in the transaction verification process. Consequently, in a network of interactions with two sides, these are the effects on both sides of the network that are induced by switching sides — token buyers can also become validators and vice versa.

One potential problem is that there is a distinct negative network effect, and another potential drawback is that there is a possibility of commoditization.

1. Because there is an excessive amount of traffic on the network, several blockchains, including Ethereum, run the risk of experiencing high transaction fees and lengthy processing times as a result of network congestion. After a certain point, the value of the network is decreased for all other buyers of tokens whenever there is a new buyer of tokens. Products developed using Web 2.0 don't have this type of negative effect on the network. When it comes to crypto and physical networks, like telephones or the internet, excessive traffic may have a detrimental impact on service quality or speed, making it a unique problem;

2. The possibility of becoming a commodity is the second issue at hand. One reason for this is that the identity of each node in the blockchain network is irrelevant to the identification of the other nodes in the network, as well as to buyers of tokens in the network. As a consequence of this, the additional value contributed by each new node in the network decreases as the size of the network increases.

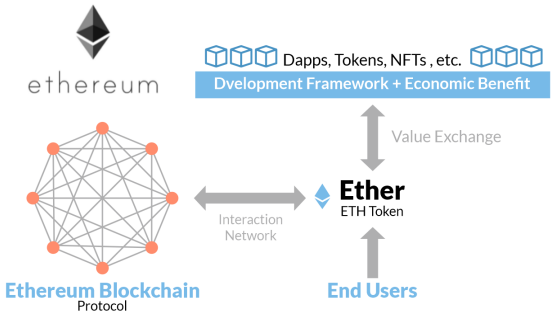
   Consider this in light of the network effects that were present in the first telephone network. In contrast to the protocols of blockchains, the telephone network was identity-focused. This meant that you were unable

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to reach a specific person if they did not have a phone, regardless of whether others had one or not. Because of this, the utility of the telephone network increased along with the number of individuals who could be contacted via the network's various phone lines. There are network effects that, as the scale of the blockchain's interaction network rises, become progressively less significant. Due to the fact that in order to compete, blockchain protocols and coins merely need to be "large enough" in relation to their transaction volume or activity, there is now a sea of competing blockchains and cryptocurrencies.

Ethereum Smart Contracts (Platform)

SMART CONTRACTS (PLATAFORM)



The Ethereum protocol is focused entirely on the concept of decentralized apps and smart contracts (dApps or "Layer 2"). End users will be required to acquire Ether tokens in order to make use of these decentralized applications (dApps). As a result, the value of the Ether token to consumers increases whenever a decentralized application developer joins the

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Ethereum network. With a few significant exceptions, this has many of the characteristics of a platform:

- This platform does not have any "matching" — or app store — functions, which is a big detriment to its functionality. Because Web3 places emphasis on open designs, this outcome is unavoidable. On the other hand, as a consequence of this, customers will have a more difficult time identifying the perfect dApp, which may result in a diminished overall network effect. Naturally, this shortcoming may be remedied in the long run by the availability of third-party app stores;

- It is also important to point out that, other than the ether token itself, there is no real commodity being sold here. In addition to interacting with the platform itself, users engage with the underlying product. This primary product accounts for the vast majority of the value offered by the platform.

  For instance, the iOS App Store has been the source of the iPhone's largest contribution to the iPhone economy. Customers who use iPhones now have access to a product that has a higher value as a direct result of the developer's participation in the app store (platform). The addition of new developers to Ethereum, on the other hand, does nothing except contribute to increasing the value of the Ether token for buyers. Because there are no switching fees and the currency is very liquid, users may always sell Ether and buy another token to access decentralized applications (dApps) built on another blockchain. This has a direct influence on the defensibility of the cryptocurrency.

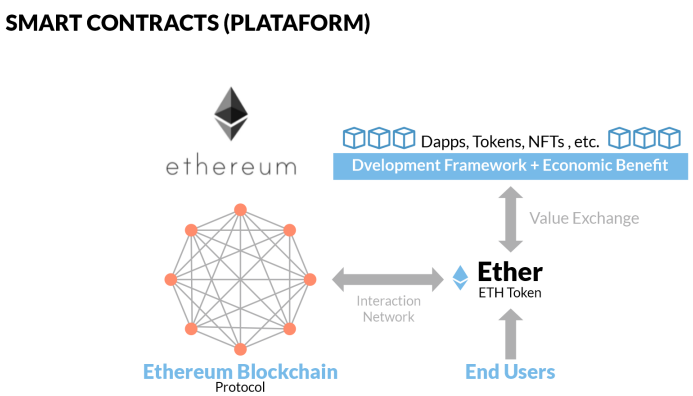
  For instance, if with just a few taps on your screen you could transform your iPhone into a Windows phone or

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an Android phone, both of which would provide you access to their respective online development communities, even if it led to more rapid innovation from iOS developers, it would not be enough to preserve the relevance of the iPhone's platform network effects.

Cardano and Solana are just two of the many innovative Layer 1 blockchain protocols that have come into existence as a direct result of these two factors.

Composability (Interaction Network)



This is not to imply that Layer 1 protocols cannot be defended against in any way. They do benefit from reduced costs associated with developer switching. Composability, or the ability for developers to build new smart contracts by remixing components from existing ones, is a significant aspect in this regard.

For example, TikTok has become synonymous with the practice of reworking previously published videos in order to create new content. When there are already more smart

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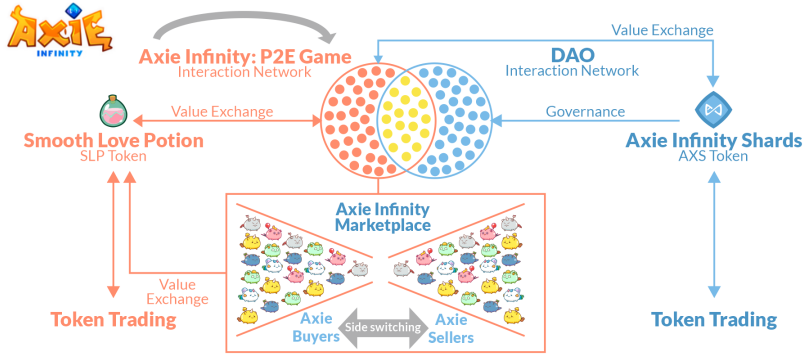
contracts built for a protocol, it becomes much easier for developers to build new ones. Consider this to be an extra network effect — an interaction network — that has been established on top of the platform. It is expected that cross-chain bridges, which make it possible for smart contracts to be created using different protocols, will reduce the impact that this technology has on defensibility.

We have arrived at truly decentralized applications (dApps), which are built on top of Ethereum and other Layer 1 protocols. NFTs, also known as unique digital assets, are a characteristic that can be found in the majority of these apps — e.g., a collectible card. Just a few examples of intriguing subcultures that have emerged in recent years include CryptoPunks and the Bored Ape Yacht Club. It might be challenging to recognize these network effects due to the lack of clarity around their significance and their practical use. Experimentation and evangelism will always come before utility in the technological cycle's early phases, so this is not an unusual occurrence at those stages. Play-to-earn games, also known as games in which players have the opportunity to earn tokens via gameplay, are an example of a decentralized application (dApp) that demonstrates clear evidence of network effects. We will discuss one such prominent play-to-earn game.

Axie Infinity: Play-to-Earn NFT Game

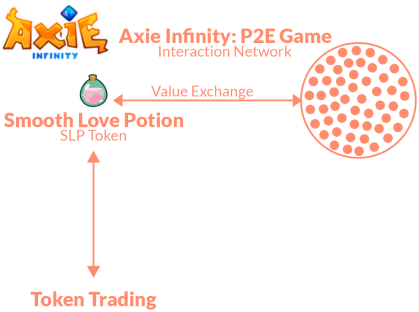
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SCHOLARSHIP PROGRAMS (PLATFORM)



As of May 2022, Axie Infinity had over 2.1 million monthly players, making it the most popular player-to-earn (P2E) game. The image above shows how Axie Infinity brings together four different network effects:

P2E Game (Interaction Network)



Players are entrusted with breeding new Axies, engaging in battle against other players, and trading their existing Axies. This aspect of the game has some similarities to Pokémon. Each Axie has its own unique set of features and varieties,

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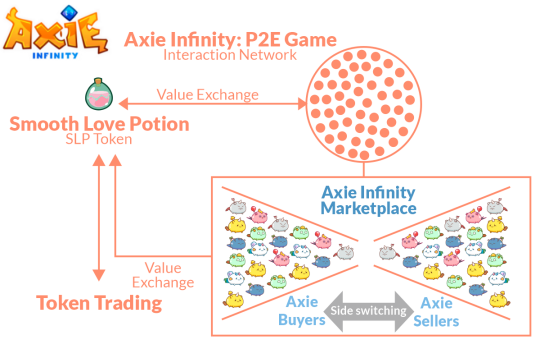
which may play a role in determining how successful it is against other Axie. Tokens of Smooth Love Potion (SLP) are awarded to players if they emerge victorious from battles and other tasks found inside the game. By trading or selling these tokens to other gamers, the user has the potential to earn real money from their tokens.

You'll have more opportunities to meet other players, engage in battle with them, and do business with them as the popularity of the game increases. The game is a multiplayer experience comparable to Minecraft, Apex Legends, Fortnite, or Call of Duty. There is a correlation between the rate of adoption and the potential for financial gain. In spite of this, it is completely unconcerned with the identity of the individuals participating. As a result of this, increasing the number of players at a certain point does not in any way contribute to an increase in the game's utility or its potential profitability. This has a direct impact that is adverse to the defensibility of this network effect.

According to statistics, growth in the number of players has led to congestion in the network as well as a reduction in potential earnings. Because of this, competing P2E games have a significant potential to compete and steal players away from existing games. As a direct consequence of this, Splinterlands and other endeavors that are comparable to it have begun to gain ground.

Axie Marketplace (Marketplace)

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The Axie Marketplace constitutes the second layer of the network effects brought about by Axie Infinity. Axies and other valuables from the game may be purchased and sold here. There isn't a huge amount of difference between this and Web 2.0 markets that provide side-switching. The game's marketplace network effect helps to reinforce the interaction network effects already present in the game. The greater the number of Axies that are bred, the greater the variety of things that may be obtained in the game, which in turn makes the game more profitable and exciting.

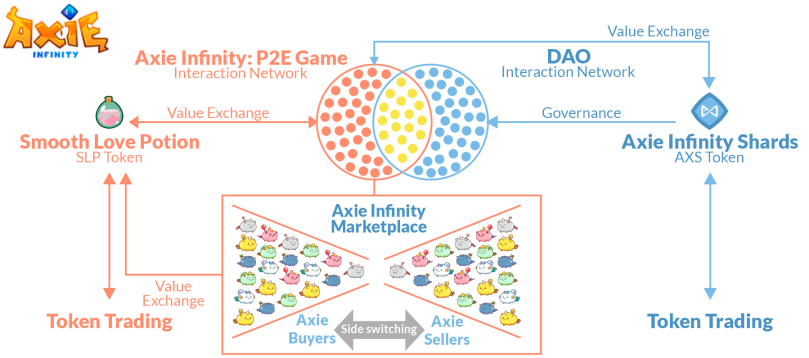
Remember that Axies are non-fungible tokens. This indicates that players are at liberty to sell their Axie on another NFT marketplace, such as OpenSea. However, each Axie has its own unique set of features, which results in an extremely diverse supply of Axies. When it comes to collecting the "long tail" of unique Axies and in-game artifacts, the Axie Marketplace is considerably easier to use than a third-party marketplace such as OpenSea. This is because the Axie Marketplace was designed specifically for this purpose.

It is expected that the Axie Marketplace will continue to be the venue of choice for making purchases of in-game items because of the diverse nature of its supply, which makes the

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Axie Marketplace an effective barrier against potential threats. However, this can only be defendable if the game is able to sustain player interest. It does not, therefore, prohibit players from transferring to another play-to-earn game.

DAO (Interaction Network)



The team behind Sky Mavis is responsible for the development of Axie Infinity. And they have plans to accomplish their objective of turning over control of Axie Infinity to a decentralized and autonomous organization by using a separate kind of currency known as Axie Infinity Shards (AXS). As part of a decentralized autonomous organization, or DAO, owners of Axie Infinity tokens will have the ability to monitor and vote on the project's ultimate trajectory in the future.

A person's identity as a member of another form of network effect might affect their defensibility. The significance of user identification changes proportionally with the scale of the network. Identity is essential in the early stages of a decentralized autonomous organization (DAO) since members know and trust one another. The addition of a new

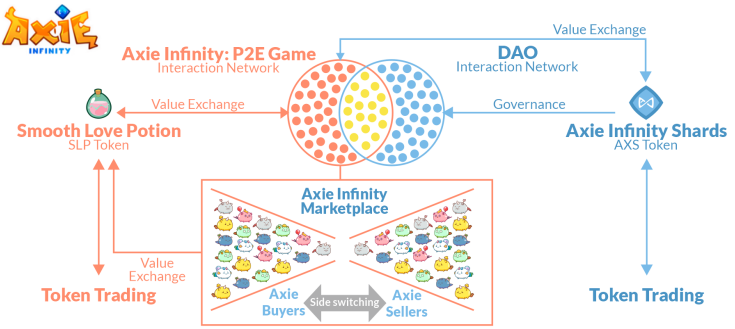
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user both increases the diversity of perspectives and has an impact on the Axie Infinity project. There's a possibility that the number of members of the DAO may increase from a few to thousands as more people start holding AXS tokens and join the ecosystem. When the scope of the project has reached a certain point, adding more AXS holders is no longer beneficial. To put it another way, the value of the network effect diminishes at a certain point as more users join.

On the other hand, DAOs come with a plethora of extra benefits. The development of an emotional connection or a tribal loyalty to the success of the project is possible via the acquisition of ownership and voting rights. It is more accurate to call this a psychological switching cost, as opposed to a network effect. However, the network effect could prove to be a more effective kind of defense in this particular case.

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Axie Infinity Scholarship Programs



The ecosystem that Axie Infinity provides acts as the highest possible layer of network effect. Axie Infinity may only be played with a minimum of three Axies, each of which costs at least $200 and can be purchased from the Axie marketplace. This is a significant financial commitment for a large number of participants, especially those coming from developing countries.

There are "scholarship" programs that "rent" Axies to potential players in order to lower the entry barrier and make the game more accessible to more people. The program then gets, in the same manner as a student loan would, a portion of the money that the participants earn by playing the game. When there are more scholarships available, Axie Infinity becomes more accessible for players who are just starting out. An increase in the number of potential Axie Infinity players will be beneficial to scholarship programs. Due to the fact that Axie Infinity is the underlying product, this might be considered to have the characteristics of a Web2 platform. However, this is not something that is exclusive to Axie Infinity. Other kinds of play-to-earn (P2E) games, including The Sandbox, support these kinds of platforms. As a result, the network effects are not very strong in this scenario, and

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one cannot rely on them to offer any kind of defense.

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CONCLUSION

In light of the developments in the metaverse and the shortcomings of web2, it is abundantly evident that web3 is required. An industry that is already thriving is now working on the development of its foundational technologies and infrastructure. It would be unwise for companies not to take advantage of the opportunities that it brings. Even while there are good reasons to criticize the current state of the market, this should not be taken as evidence that the concept itself is flawed.

In the future, there will most surely not be a single orthodoxy to which efficient solutions will conform. It is impossible for us to exist in a world in which everything is absolutely decentralized and under the complete authority of the general population. The concept known as "Web2.5" alludes to the belief that centralized components like support organizations will continue to exist.

It seems probable that the innovator's dilemma — which refers to a notion that explains how huge, successful businesses might collapse despite doing everything perfectly — will play a role in the development of Web3. First, there are certain specific use scenarios in which web3 may be successful because its benefits exceed its drawbacks. As a result of economies of scale, it will become less difficult to compete in other fields as the economy continues to grow. It is inevitable that, as time goes on, it will get ingrained in the foundation of the internet even more.

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